

CHANGES INTRODUCED IN THE FEDERAL HIGH COURT PRACTICE DIRECTIONS, 2021: THE TAX PAYER'S PLIGHT

1. Introduction

Practice Directions are rules of Court made Pursuant to a provision of a substantive law empowering the heads of Courts to make law with respect to the mode and procedure of the court. Such matters range from and include mode of commencement of action, forms of service of processes, extension of time and mode of regularization to mention a few, often time these rules are made with the sole objectives of enhancing speedy resolution of disputes.¹

The release of Federal High Court (Federal Inland Revenue Service) Practice Directions, 2021, “*FHC Practice Directions*” by the Chief Judge of Federal High Court, Hon. Justice Terhemba Tosho has raised several questions on its appropriateness. Invariably, this discourse highlights the point of concern in the instrument.

2. The Practice Direction- Summary.

The FHC Practice Direction consists of six orders which seeks to detail the procedure for cases with regards to tax issues pertaining to FIRS.

Order I highlights the applicability and objectives of the FHC Practice Direction, chief amongst them is the effective resolution of disputes arising from the tax payer and the tax authority. While **Order II** states that the dispute would be resolved in the Judicial Division from which the matter arises and any matter commenced in a wrong division would be treated in accordance to the Federal High Court (Civil Procedure) Rules “*FHC Rules*”. **Order III** provides for the mode of commencement and in so doing empowers the FIRS to apply for an interim Order of Forfeiture of immovable Property or freezing of Bank Account via an Ex-parte Application. In **Order IV**, the FHC Practice Direction, states how the processes filed would be served and this includes service via email or WhatsApp. **Order V & VI** provides for mode of appearance and a default of appearance respectively. **Order V** also provides that a Respondent is expected to pay half of the assessed amount into an interest yielding account when he decides to contend the assessment. While, **Order VI** states the application may be struck out upon default by the applicant and deferred to the Federal High Court (Civil Procedure) Rules where the Respondent does not appear upon proof of service.

3. Whether Applicable to only cases involving FIRS or all matters in FHC

¹ See Buhari v. INEC (2008) 19 NWLR (Pt.1120) 246

The Title/citation of the practice direction as ‘Federal High Court (Federal Inland Revenue Service) Practice Directions, 2021’ presupposes that the Practice Direction is specific to FIRS cases. However, confusion may arise from the sentence which appears in 4- 5th lines as follows:

“..... the following Practice Direction for the Federal High Court **for matters pertaining to or arising from Tax issues** and for Federal Inland Revenue Service (FIRS).”²

Notwithstanding this blanket provision; **Order III** in its provisions made specific references to FIRS in terms of the mode of commencement of action³. This is a pivotal provision in the institution of an action which will trigger the requisite action by FIRS to achieve the objectives of the FHC Practice Direction. Hence, we unequivocally state that its substantive provisions will override the long title, in case of a conflict.

4. Comparison of the FIRS Powers Under FHC Practice Direction & Substantive Tax Laws

Order 3 Rule 1 of the Federal High Court Civil Procedure Rules provides for the method of commencement of action in the Federal High Court. It provides that an action can be commenced by writ, originating summons, originating motion or by any other method required by other rules of Court governing a particular subject matter.

The FHC Practice Direction provides in its Order 3 Rule 1 that the FIRS shall file an ex-parte application accompanied with an affidavit and written address for an Interim Order of Forfeiture on Immovable Property or Freezing of bank account. The motion ex-parte shall be with respect to the FIRS to exercise any of the following:

- An interim order of forfeiture of immovable property
- Interim order of freezing bank account
- An ex parte order to give the FIRS access to the taxpayer’s books, documents, servers, billing systems and bank accounts.
- An ex-parte order giving the FIRS access and or to seal the business premises.
- A warrant of distrain

While the FHC practice directions state the process in which these powers can be exercised, it is worthy of note that these powers when granted are not new to the tax laws such as Companies

² Emphasis mine.

³ See Order III Rule 1, Rule 2 (c) (i) & (ii), Rule 3 (ii) & (iii)

Income Tax Act “CITA”, Federal Inland Revenue Service (Establishment) Act “FIRSEA” and Personal Income Tax Act “PITA”. However, there exists no power of forfeiture under any tax law.

a. CITA- Warrant of Distrain

Section 86 provides the tax authority with the power to distrain the taxpayer of his goods, chattels, bonds or other securities, land, premises when payment of tax is not made within the time limited by a demand note. An officer of the tax authority is entitled to execute a warrant of distress once authorized in writing by the service. Distrained goods are to be kept for fourteen days at the cost of the taxpayer, and if at the end of the 14 days the amount due is not yet paid, the tax authority may sell the detained goods/property at any time. Out of the proceeds of such sale, the cost incidental to the keeping of goods/property and the tax liability are deducted, and the balance becomes payable to the taxpayer upon demand within the timeframe of a year of the date of sale.

Section 86(6) prescribes however, that any sale of immovable property is to be done with an order of the High court made on application in any form prescribed by the rules of court.

b. PITA

i. Access and or to Seal The Business Premises

Section 103 PITA provides the tax authority the power to enter any house or premises of the taxpayer to recover oral information on the income, occupation or domestic circumstance, or to recover tax owed.

ii. Power to distrain

Section 104 provides for the power of the tax authority to distrain after the tax owed is not paid after the time frame provided in the demand notice served on the taxpayer. It empowers the tax authority to distrain the taxpayer by his goods, other chattels, bond or other securities, any land, premises or place which the taxpayer is the owner. Section 104(3) provides that an officer duly appointed by the tax authority shall make an ex-parte application under oath a High Court judge sitting in his chambers. Section 104(4) provides that an authorized officer in executing the warrant of distress can only have access to the premises or building in the daytime. The distress is at the cost of the owner and the goods distrained can be sold after 14 days if the tax debt is still not cleared. Section 104 (8) provides that the provisions of section 104 does not authorize the sale of any immovable property without an order from a court of competent jurisdiction.

c. FIRSEA - Freeze Account, Seizing Property

The functions of the FIRS are contained in section 8 of the FIRs act, section 8(1)(G) provides that the service shall adopt measures to identify, trace, freeze, confiscate or seize proceeds derived from tax fraud or evasion. Particular attention is to be paid to the words highlighted in this section which does not provide for forfeiture as one of the powers of the FIRS. The FIRS act however provides for the freezing, seizing (distraining) of property.

The table below aptly summarizes the above:

Power	CITA	PITA	FIRS (Establishment) Act	FHC Practice Directions
Warrant of Distrain	Section 86	Section 104(3) & (4)	Section 8 (1) (g)	Order III
Forfeiture	-	-	-	Order III
Power to seal Premises	-	Section 103	-	Order III
Access to premises & Freeze Account	-	-	Section 8 (1) (g)	Order III
Access to Tax Payer's files	-	-	Section 8 (1) (h)	Order III

5. Requirement of Part Payment of Tax Assessed

Order V Rule 3 of the practice direction mandates that a taxpayer who seeks to challenge an assessment shall pay half the assessed amount pending determination of the application. This provision is against the provisions of tax enabling statutes which have clearly delineated the procedure on which an assessment by the tax authority can be challenged. The relevant provisions for a taxpayer to object to an assessment include, paragraph 13 of the Fifth Schedule of FIRSEA, **section 69** of CITA and **section 58** of PITA wherein the taxpayer has the right to object within 30 days if he disagrees with the assessment served upon him. The enabling tax statutes do not provide that half of the assessed sum be paid where a taxpayer objects to or intends to challenge an assessment on appeal. This cannot be imposed by way of a practice direction of the Federal High Court as it sought to do. Only an amendment of the substantive law can impose such a requirement. Furthermore, **section 68**, PITA grants a taxpayer 60 days to pay income tax where

the assessment has not been subjected to an objection or appeal and **section 77(2)** of CITA grants a taxpayer 30 days to pay the assessed sum where it is not subject to an objection or appeal. The clear provisions of the enabling statutes cannot be overridden by Order V Rule 3 of the practice direction when the assessment has not become final and conclusive or where the taxpayer seeks to object to the assessment.

6. Commentary

The FHC Practice Direction only gives effect to the substantive law relating to the subject matter before the Court and is by no means the substantive law. This Practice Direction, however seeks to clog the right of litigants or limits the rights inherently preserved in the statutes, this goes contrary to established principles of Fundamental Rights and should be disregarded with the same ingenuity with which it was made. For instance, there's no provision for interim forfeiture in the substantive tax laws. The provision with respect to Distrain in section 86 of CITA is clear on the mode of execution and It cannot be introduced by a practice direction, as provided for in Order III of the rule. The treatment to be ascribed to rule of court or practice direction in conflict with the substantive laws it seeks to give effect was also considered in **Abubakar v. Yar'Adua**⁴; here the court held that practice direction in conflict with the Constitution or the enabling statutes will have no force of law.

In **Mobil Oil (Nig) Ltd V. Federal Board Of Inland Revenue**⁵ the court reiterated the limits of a Practice Direction when it states thus:

“..... it is our view that the “practice direction” does not affect the right of an appellant or respondent in an income tax appeal before the Federal Revenue Court to adduce evidence...”

From the above, it is clear that any Rule of Court or Practice Direction which significantly detract from the provisions of substantive laws or limits the rights of parties will be declared null and void to the extent of its inconsistency.

7. Conclusion

The FHC Practice Direction vests the FIRS with an array of powers alien to the extant tax laws including FIRS (Establishment) Act. While provisions exist for FIRS to exercise some of the powers,

⁴ (2008) 4 NWLR (Pt. 1078) 455

⁵ 1977) 1 NCLR 1



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FIRS seeks the shortest cut towards the attainment of the objectives in a manner contrary to the provisions of the FIRS Act and other extant laws, which invariably impedes on the taxpayer's right. Accordingly, the FHC Practice Direction goes beyond its purposed scope and objective. As such, it stands a risk of being successfully challenged in a court of competent jurisdiction.